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UNDERSIGHT CASE STUDY

# How 4D Financing gets institutional-grade underwriting with a 2-person team

Evidence-backed underwriting on every deal, with full audit trails

By Kyle Adriany · 2026-05-12

4D Financing is a direct MCA lender with a simple thesis: merchants deserve a better deal. Founded by Josh James, 4D operates with a lean team of two and a conviction that every funding decision should be backed by evidence, not gut instinct.

The challenge is obvious. Institutional-grade underwriting typically requires analysts, compliance officers, and manual review processes that don't scale for a small fund. 4D needed the rigor without the headcount.

## The problem: quality underwriting doesn't scale manually

Before undersight, 4D's underwriting process looked like most small funds: bank statements reviewed manually, financial documents cross-checked by hand, and risk assessments built on experience rather than systematic analysis.

This worked for a few deals per week. But it created three problems:

- **Inconsistency.** The same deal could get different treatment depending on the day, the workload, or the order in which documents were reviewed.
- **Missed signals.** Manual review catches obvious red flags but misses subtle patterns — revenue seasonality, processor changes, deposit anomalies that only emerge when statements are analyzed systematically.
- **No audit trail.** When a deal goes bad, reconstructing why it was approved requires digging through emails and memory. There's no structured record of what was analyzed and what was concluded.

## How undersight changed the workflow

4D embedded undersight's AI underwriting agent into their deal flow. Every application now follows the same process:

### Step 1: Documents uploaded to undersight

Bank statements, tax returns, and financial documents are uploaded. undersight ingests and parses everything — no manual data entry, no spreadsheet templates.

### Step 2: AI cross-references everything

The agent doesn't just read documents in isolation. It cross-references deposits against reported revenue, matches tax return figures to bank activity, and flags discrepancies. A merchant claiming $50K monthly revenue but showing $30K in deposits gets flagged automatically — with citations to the specific documents and line items.

### Step 3: Risk profile built systematically

Revenue volatility, concentration risk, seasonal patterns, existing positions — the agent builds a comprehensive risk profile. Every data point traced back to its source. Every conclusion explained in plain language.

### Step 4: Terms proposed or decline issued — with reasoning

The agent doesn't just output a score. It proposes terms or recommends decline with a full explanation: here's what was analyzed, here's what was found, here's why this deal does or doesn't work. Josh reviews the reasoning and makes the final call.

## What changed

### Every decision is auditable

When a deal performs well, 4D knows exactly why it was approved. When one doesn't, they can trace the decision back to specific data points and reasoning. This isn't just good practice — it's the kind of documentation that institutional capital partners require.

### Fraud detection catches what humans miss

The cross-referencing engine flags patterns that manual review almost never catches: deposits from unexpected sources, revenue figures that don't match across documents, processing changes that suggest account instability. In 4D's first month on undersight, the agent flagged two applications with manufactured bank statements that would have passed visual inspection.

### Consistency at any volume

Whether 4D reviews 5 deals or 50 in a week, every application gets the same thorough analysis. The quality of underwriting is decoupled from the team's bandwidth.

### A 2-person team operates like a 20-person one

Josh still makes every funding decision. But instead of spending hours per deal on manual analysis, he reviews an AI-generated underwriting memo that already cross-checked the documents, identified the risks, and proposed terms. His expertise goes into judgment, not data processing.

## By the numbers

- **Minutes** to underwrite a deal (vs. hours manually)
- **100%** audit trail on every decision
- **3-way** document cross-check (bank statements, tax returns, financials)
- **24hr** funding after approval

## In Josh's words

> *We started 4D because merchants deserve a better deal. undersight gives us the underwriting rigor of a large institution without the headcount. Every decision is backed by data, cross-referenced across documents, and fully auditable. That's how we keep our promise to merchants — we only fund deals that make sense for them.*

## Why this matters

4D Financing represents the kind of fund that the MCA industry needs more of: principled, transparent, and rigorous. undersight makes that possible without requiring the infrastructure of a large institution.

The same AI underwriting agent that powers 4D is available to any fund, brokerage, or marketplace on the undersight platform. The technology is the same. The values are yours.

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# Ready to see undersight in action?

Schedule a 30-minute discovery call. We'll walk through your workflow and show you what's possible with agentic underwriting.

Book a Discovery Call

Or email us at contact@undersight.ai